IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

CP(CAA) 54/BB/2017

& CP(CAA)55/BB/2017

Under Sections 230 to 232 of Companies Act, 2013

Order delivered on 15th March 2018

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)

Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

IN THE MATTER OF SCHEME OF AMALAGAMATION

IN THE MATTER OF

SANKALP & KPIT SEMICONDUCTOR PRIVATE LIMITED

WITH

SANKALP SEMICONDUCTOR PRIVATE LIMITED

Sankalp Semiconductor Private Limited
Plot No.9, Survey No.89
Aryabhatta Tech Park
Navanagar, Hubli
Karnataka – 580 025
Represented by Mr.Veerendra Baligeri .. Petitioner/Transferee Company
CP(CAA) 55/BB/2017

Sankalp & KPIT Semiconductor Private Limited
Plot No.9, Survey No.89
Aryabhatta Tech Park
Navanagar, Hubli
Karnataka – 580 025
Represented by Mr.Nagaraj A. .. Petitioner/Transferor Company
CP(CAA) 54/BB/217

For the Applicant(s): Mr. Madhukar S., Advocate
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Bengaluru – 560 001

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical) - (Author)

Heard on: 29.09.2017, 10.10.2017, 27.11.2017, 04.01.2018, 31.01.2018, 21.02.2018

ORDER

These Company Petitions are filed on behalf of the Petitioner/Transferee Company viz., Sankalp Semiconductor Private Limited and Petitioner/Transferor Company viz., Sankalp & KPIT Semiconductor Services Private Limited under Sections 230 to 232 of the Companies Act, 2013 praying for sanctioning the Scheme of Amalgamation whereby **SANKALP & KPIT SEMICONDUCTOR PRIVATE LIMITED** (Transferor Company) to be merged with **SANKALP SEMICONDUCTOR ~~SERVICES~~ PRIVATE LIMITED** (Transferee Company) so as to be binding on all the Shareholders and the Secured and Unsecured Creditors.

Corrected vide Bench Order dated 26-3-2018.

The averments made in the Company Petition are briefly described hereunder:-

The Petitioner/Transferee Company seeks an order for sanctioning the Scheme of Amalgamation of **SANKALP & KPIT SEMICONDUCTOR PRIVATE LIMITED** (Transferor Company) to be merged with **SANKALP SEMICONDUCTOR ~~SERVICES~~ PRIVATE LIMITED** (Transferee Company) as per the Scheme at Annexure-A.

The Petitioner/Transferee Company was incorporated on 31.10.2005 in Hubli, under the provisions of the Companies Act 1956 under the name Sankalp Semiconductor Private Limited. The Registered Office of the Petitioner/Transferee Company is situated at Plot No.9, Survey No.89, Aryabhatta Tech Park, Navanagar, Hubli – 580 025, Karnataka.

The objects of the Petitioner/Transferee Company as set out in its Memorandum of Association inter alia is as follows:

i. To engage in business as an engineering design centre engage in the design, development, implementation, manufacture, test, marketing, support, export and import of all kinds of digital/analogue circuits, software and other high performance system level semiconductor solutions and to develop, implement, manufacture, test, market, support, export and import various computer software, application software, embedded

software, operating systems, data management systems, digital systems, storage systems, memory systems, information systems and the like.

ii. To design, manufacture, develop, program, test, distribute, import, export, install, licence, lease, alter or otherwise deal in or with all software, proprietary software, including application software, hardware and programs of any and all kinds and description including but not limited to customer interaction management solutions, eBusiness applications, software applications and software for internet and web services, entertainment and to provide for software, hardware or programmers consultancy services related to the preparation, installation and maintenance and to carry on generally all or any of the business of research and development.

iii. To engage in the business of VLSI and software design and consultancy and to undertake research and carry on development activities of VLSI products and software products of all kinds and descriptions and to undertake and carry on the business of rendering services and development of hardware systems and software packages for providing complete communication solutions in India and or outside India.

The copy of Certificate of Incorporation, Memorandum & Articles of Association of the Petitioner/Transferee Company are shown as Annexures-C and D respectively.

The Authorised Share Capital of the Petitioner/Transferee Company as on 31st March 2016 is Rs.1,60,00,000/- divided into 80,00,000 Equity Shares of Rs.2/- each and the issued, subscribed and paid up Equity Share Capital is Rs.1,19,27,134/- divided into 59,63,567 Equity Shares of Rs.2/- each. The copy of the audited financials of the Petitioner/Transferee Company as on 31st March 2016 is produced as Annexure-E.

The current Authorised Share Capital of the Petitioner/Transferee Company is Rs.1,60,00,000/- divided into 80,00,000 Equity Shares of Rs.2/- each and Rs.11,00,00,000/- divided into 11,00,000 Convertible Cumulative Redeemable Preference Shares of Rs.100/- each. Thus the total Authorised Capital is Rs.12,60,00,000/-. The issued, subscribed and paid up capital comprising 59,63,567

Equity Shares of Rs.2/- each comes to Rs.1,19,27,134/- and 10,56,600 Convertible Cumulative Redeemable Preference Shares of Rs.100/- each which comes to Rs.10,56,60,000/- and the total paid up capital is Rs.11,75,87,134/-.

The Petitioner/Transferor Company in CP (CAA) No.54/BB/2017 was incorporated on 06.06.2012 in Hubli under the provisions of the Companies Act, 1956 under the name 'Sankalp & KPIT Semicondutor Private Limited' and its registered office is situated at Plot No.9, Survey No.89, Aryabhatta Tech Park, Navanagar, Hubli – 580 025, Karnataka.

The Authorised Share Capital of the Petitioner/Transferor Company as on 31.03.2016 was Rs.2,00,00,000/- divided into Equity Shares of Rs.10/- each. The issued, subscribed and paid up capital of the Petitioner/Transferor Company was Rs.1,01,00,000/- divided into 10,10,000 Equity Shares of Rs.10/- each.

The Petitioner/Transferor Company's object as set out in its Memorandum of Association inter alia is as follows:

(i) To carry on the business of all kinds of digital & analog & mixed signal circuits and to engage in business as an engineering design centre engaged in the design, development, implementation, manufacture, test, marketing, support other high performance system level semiconductor solutions and to develop, implement, manufacture, test, market, support, export and import various digital systems, analog systems, storage systems, memory systems, information systems.

(ii) To carry on the business of manufacture, buy, sell, exchange, improve, repair, modify, manipulate, import or export or otherwise deal in all kinds of conductors, cables and wire for telephone, telegraph-telecommunication, television, signalling, controlling or monitoring for electric, electronics and power systems, transmissions, broadcasting, reception and distribution in all forms and media and for industry by using alloys or optic fibre with any or all kinds of insulation or covering material such as plastic compounds chemicals, rubber, natural or synthetic and core unfilled or filled with petroleum jelly or equivalent.

(iii) To act as manufacturers, buyers, sellers, importers, exporters of, or otherwise deal in all kinds of conductors of electricity in different configuration and round or grooved copper wires whether insulated or not for use in tramways, trolleys, buses, railway cranes, motor/generator windings, transformers, switch gears, lightning conductors aerials, furnaces, ship wiring, switch-boards, bells, fuses, welding and steel wires/ropes, including various compounds are armouring and filling material used for the manufacture of telephones and telecommunication cables.

(iv) To engage in the business of VLSI development, testing and consultancy and to undertake research and carry on development activities of VLSI products of all kinds and descriptions and to undertake and carry on the business of rendering services and development of hardware systems and solutions for providing complete and not limited to digital consumer, communication, networking, industrial, automotive, medical, defence, aerospace solutions in India and or outside India.

The Board of Directors of the Petitioner/Transferee Company and the Petitioner/Transferor Company have by their respective resolutions passed on 24.08.2017 and 21.06.2017 respectively approved the modification to be made to the scheme of amalgamation to reflect the change in the authorised and paid up share capital of the Petitioner/Transferee Company. A copy of the amended scheme of amalgamation is produced as Annexure-A1. The copies of the relevant board resolutions passed by the Petitioner/Transferee Company and the Petitioner/Transferor Company approving the modification of the scheme of amalgamation are produced as Annexures-F1 and F2 respectively.

That the Petitioner/Transferee Company and the Petitioner/Transferor Company had filed CA No.699/2016 before this Tribunal seeking to dispense with convening of the meetings of Equity Shareholders and Unsecured Creditors of the respective companies. The copy of the order of the Tribunal in CA No.699/2016 is produced as Annexure-H to this petition.

This Tribunal by its Order dated 10.10.2017 directed the Petitioner/Transferee and Petitioner/Transferor Companies to issue notice to Regional Director, Ministry of

Corporate Affairs, South-East Region, Registrar of Companies, Assistant Commissioner Income Tax Circle 33(1), Income Tax Department, Hubli and Official Liquidator. A further direction was issued for publication in 'The Hindu', English daily, Hubli edition and in 'Udayavani', Kannada daily in Hubli edition to be published before 20 days from the hearing date and the next date of hearing was fixed on 27.11.2017.

Pursuant to the same, the counsel for the Petitioner/Transferee Company and the Petitioner/Transferor Company has filed the Memo dated 27.11.2017 for having issued notices to the Regional Director, Ministry of Corporate Affairs, South-East Region, Registrar of Companies, Assistant Commissioner Income Tax Circle 33(1), Income Tax Department, Hubli and Official Liquidator and the postal receipts are filed along with the memo and counsel for the Petitioner/Transferee Company has also filed the copy of the paper publication for having taken out the advertisement in 'The Hindu', English daily newspaper and 'Udayavani', Kannada daily newspaper.

The Regional Director, Ministry of Corporate Affairs, South East Region, Hyderabad vide his letter Ref: F No.3/Karnataka/Amal/820/RD(SER)/2017/4127 dated 21.11.2017 has stated that the competent authority on behalf of the Central Government has examined the Scheme with reference to the material made available to him and that the Registrar of Companies vide letter No.ROCB/Legal/CAA/54&55/BB/2017 dated 02.11.2017 has sought for information/documents as called for by the Directorate as set out in the letter which is a part of records.

The Registrar of Companies in Karnataka, Bengaluru vide his letter No.ROCB/LEGAL/CAA/54&55/BB/2017 dated 15.12.2017 has enclosed the observations/representations in the matter of Scheme of Amalgamation of the Petitioner Companies and their respective shareholders and creditors and has observed that both the Transferor Company and the Transferee Company have filed the Annual Return, Balance Sheet and Financial statements for the year 2016-2017, there is no violation of Section 383A/215 of the Act. Further is no proceeding u/s 235 to 251 of the Act pending against any of the Companies and that the Transferee Company shall account for amalgamation in accordance with the "Pooling of Interest Method of Accounting" laid down by AS-14 (Accounting for Amalgamation) prescribed under Companies (Accounting Standards) Rules, 2006. The final observation is that the Transfer and

Transferee Companies have not filed GNL-1 and that the petition may be decided on merits.

The Registrar of Companies has also filed on 15th February 2018 an affidavit dated 14.02.2018 on behalf of Central Government/Regional Director, MCA, South East Region, Hyderabad that the scheme has been examined by the Directorate with reference to the information and documents provided by the Petitioner Companies and stated that the Directorate has no objection for the instant scheme.

On the prayer made by the Official Liquidator in OLR No.169/2017 in CP(CAA) No.54/BB/17, vide order dated 27th November 2017 M/s Sudhakar Hegde & Co., Chartered Accountants were appointed to scrutinise the Books of Accounts and records of the Petitioner/Transferor Company. Upon scrutiny of Books & Records and other material made available by the Transferor Company M/s Sudhakar Hegde & Co., have submitted report dated 11th January 2018. Pursuant to the same, the Official Liquidator has filed a report in OLR.No.10/2018 in CP(CAA) No.54/BB/2017 on 24th January 2018 stating that the Company has maintained proper books and records and that the affairs of the Company have not been conducted in a manner prejudicial to the interests of the members or to public interest. The Income Tax Department has not filed any objections to this scheme in pursuance of notice issued. There is no response from Income Tax Department.

The Counsel for the Petitioner Companies have filed the certificate of the Chartered Accountant stating that the accounting treatment detailed in the aforesaid Scheme is in compliance with Accounting Standard-14 for Amalgamation as prescribed under Section 133 of Companies Act, 2013 read with Rule 7 of the Companies (Account) Rules, 2014. The said certificate is produced as Annexure-J to this petition. The counsel for the Petitioner has also confirmed that the swap ratio of shares will be done as per the Chartered Accountant's valuation report submitted on 20th September 2017 to this Tribunal.

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme as above, we further clarify that, this order should not be construed as an order in any way of granting exemption from payment of Stamp

Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee Company for all the state and interest of the Transferor Company therein but subject nevertheless to all charges now affecting the same;

All liabilities including taxes and charges, if any and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

All proceedings now pending by or against the Transferor Company, if any, be continued by or against the Transferee Company; and

The tax implications, if any arising out of the scheme is subject to final decision of concerned Tax Authorities and the decision of the respective Tax Authority shall be binding.

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements And Amalgamations) Rules, 2016 along with filing of GNL-1 in respect of both Transferor and Transferee Companies.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e., 1st April, 2016 subject to the compliances as enumerated by Registrar of Companies in his Affidavit.

The Transferor Company or its authorised signatory is directed that after the completion of the process of Amalgamation to handover the possession of the books of accounts and other relevant documents of the Petitioner Company to the Transferee Company for the purpose of Section 239 of the Companies Act, 2013.

Both the Transferor and Transferee Companies will ensure filing of GNL-1 immediately.

Any person shall be at the liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

15/3/18

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

15/3/18

(RATAKONDA MURALI)
MEMBER, JUDICIAL

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